LOUISIANA PUBLIC SERVICE COMMISSION
ADMINISTRATIVE HEARINGS DIVISION

DOCKET NUMBER U-37483

BEAUREGARD ELECTRIC COOPERATIVE, INC., EX PARTE

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

REPORT OF PROCEEDINGS
AND
SUBMISSION OF STIPULATION FOR CONSIDERATION BY COMMISSIONERS

Nature of the Case

In this proceeding, Beauregard Electric Cooperative, Inc. ("BECi" or "Beauregard") is seeking from the Louisiana Public Service Commission ("Commission") (1) Approval of Initial Revenue Adjustment, (2) Approval of Formula Rate Plan, (3) Approval of Modifications to Standard Terms and Conditions and Associated Rate Schedules, and (4) Request for Interim Rate Relief. After discovery and submission of testimony, the parties to the docket reached an agreement, and subsequently executed an uncontested proposed stipulated settlement ("Stipulated Settlement"). The Stipulated Settlement resolves all issues in the docket and is attached hereto, along with the settlement testimonies of BECi and Staff witnesses.

Procedural History

On January 14, 2025, BECi filed with the Commission an application for: (1) Approval of Initial Revenue Adjustment, (2) Approval of Formula Rate Plan, (3) Approval of Modifications to Standard Terms and Conditions and Associated Rate Schedules, and (4) Request for Interim Rate Relief (the "Application"). The Application was published in the January 17, 2025 edition of the

Commission's Official Bulletin. Mr. Brian Zelenak timely intervened in Docket No. U-37483 and was placed on the Service List for Docket No. U-37483 as an Intervenor.

A Notice of Assignment and Notice of Status Conference was issued on February 7, 2025. On February 10, 2025, BECi filed a Consent Motion to Reset Status Conference, which was subsequently granted. On February 11, 2025, James E. Sudduth filed a letter requesting to be added to the service list as an interested party. On February 12, 2025, Louisiana Internet & Television - The Broadband Association ("LIT") filed a Motion Out-Of-Time for Interested Party Status and Request for Inclusion on Service List. Both Mr. Sudduth and LIT were added to the Service List for Docket No. U-37483 as interested parties. On February 17, 2025, BECi filed proof of publication in the official journals.

On February 17, 2025, BECi filed a Notice of Non-Compliance of Intervention and Request for Clarification of Intervention ("Request"). BECi's Request made several arguments regarding Mr. Zelenak's interest in the proceeding and whether his intervention conforms with the Commission's Rules of Practice and Procedure. A Ruling on the Request was issued February 19, 2025, denying the request.

A status conference was held in the matter on March 12, 2025, at which time a procedural schedule was established. On April 9, 2025, BECi filed a Motion for Leave to Amend Exhibit "D" to the Application, which was subsequently granted.[1] At the April 16, 2025 Business and Executive Session, the Commission approved BECi's request for an interim rate increase, subject to refund and applicable bonding requirements. On May 8, 2025, Order No. U-37483 was issued

[1] The amendment corrected an error in Schedule HLF-ASP found on pages 11.1-11.5 of Exhibit D to the Application.

memorializing the Commission's vote. On May 15, 2025, BECi filed an updated tariff, and on May 28, 2025 filed the proof of applicable bond.

On July 11, 2025, Commission Staff filed the Direct Testimony of Thomas Broady in Support of the Staff Recommendation, with the attached Audit Memorandum. On August 1, 2025, Commission Staff filed the Cross-Answering Testimony of Thomas Broady. On September 30, 2025, BECi filed the Rebuttal Testimonies of Mr. Justin Proctor and Mr. Michael Viator.

On October 1, 2025, BECi filed a Peremptory Exception of No Right of Action and Motion to Strike Intervention, seeking to have Mr. Zelenak struck as an intervenor. On October 1, 2025, a Notice of Opportunity to Respond was issued, allowing parties to file a response the motion. No party, including Mr. Zelenak, filed a response to the Motion. On October 13, 2025, a Ruling on Exception of No Right of Action and Motion to Strike Intervention was issued, granting the motion and striking the intervention of Mr. Zelenak. On October 22, 2025, BECi filed an Unopposed Motion to Amend Procedural Schedule, which was subsequently granted.

On November 3, 2025, BECi and the Commission Staff filed a Joint Motion to Convert to Uncontested Stipulation Hearing ("Joint Motion"). The Joint Motion was accompanied by the Agreed Term Sheet, the Testimonies in Support of Uncontested Proposed Stipulated Settlement of Michael Viator and Justin Proctor on behalf of BECi, and the Testimony of Thomas Broady on behalf of the Commission Staff. The Tribunal granted the Joint Motion on November 4, 2025, and the hearing previously scheduled for November 13, 2025 was converted into a stipulation hearing.

The Stipulation Hearing

A stipulation hearing was convened on November 13, 2025. At the stipulation hearing, appearances were made by Kara Kantrow on behalf of BECi, and Arvind Viswanathan on behalf

of the Commission Staff. Testifying at the hearing on behalf of BECi were Michael Viator and Justin Proctor, and on behalf of the Commission Staff was Thomas Broady.

Michael Viator

Mr. Viator is the Executive Vice President and General Manager of BECi. He testified that the Commission granted interim rate relief and some modifications to BECi's tariff at its April Business and Executive Session. Mr. Viator supports the Stipulated Settlement, which allows an annual revenue increase of approximately $7.75 million to achieve a modified debt service coverage ratio ("MDSC") of 1.8, with an automatic midpoint reset. Mr. Viator testified that the Stipulated Settlement is in the best interest of the Cooperative and is in the public interest.

Justin Procter

Mr. Proctor is the Vice President and Managing Consultant of C. H. Guernsey and Company, a consulting company hired by BECi for this docket. Mr. Proctor testified in support of the Stipulated Settlement. He performed the rate analysis and cost-of-service study that was submitted with the original application and assisted with the tariff updates. He testified that the Stipulated Settlement is fair to the Cooperative and its members. It maintains financial stability, keeps rates affordable, improves cash flows and cost recovery, reduces risk to the Cooperative, and enhances the Cooperative's borrowing ability. Without the settlement the Cooperative could encounter underfunded operations which could result in deferred maintenance and reliability and maintenance issues, as well as increased borrowing costs.

Mr. Proctor testified that if the Commission approves the Stipulated Settlement, a member using 1000 kWh/month would incur charges of approximately $6.72 over the interim increase. The total increase for a member using 1000 kWh/month is approximately $9.45 per month. Because

the Stipulated Settlement allows a higher increase than the interim rate increase, no refunds are necessary if the Commission approves the Stipulated Settlement.

Thomas Broady

Mr. Broady is an Audit Manager at the Commission. In that capacity he has testified on behalf of the Commission Staff on numerous occasions. He supports the Stipulated Settlement and believes that it is fair, reasonable, and in the public interest. He believes it is fair to the Cooperative and its members and should be approved by the Commission.

Exhibits

The following exhibits were admitted into the record of the hearing:

BECi and Commission Staff Joint Exhibit 1	A copy of the Joint Motion to Convert to and Schedule Uncontested Stipulation Hearing filed on November 3, 2025;
BECi and Commission Staff Joint Exhibit 2	A copy of the Agreed Term Sheet executed by Staff and BECi September 25, 2025;
BECi Exhibit 1, *in globo*	A copy of the public version of BECi's Application filed January 14, 2025, as updated April 9, 2025, with exhibits;
BECi Exhibit 2, *in globo*	A copy of the Rebuttal Testimony of Michael Viator on Behalf of BECi filed September 30, 2025;
BECi Exhibit 3	A copy of the Testimony of Michael Viator on Behalf of BECi in support of the Stipulated Settlement;
BECi Exhibit 4	A thumb drive containing the confidential rate analysis and cost of service study submitted with the application **(admitted under seal pursuant to Rule 12.1)**
BECi Exhibit 5	A copy of the Rebuttal Testimony of Justin Proctor on Behalf of BECi filed September 30, 2025;
BECi Exhibit 6	A copy of the Testimony of Justin Proctor on Behalf of BECi in Support of the Stipulated Settlement;

BECi Exhibit 7	A copy of the Proposed Final Tariff for BECi (redline version);
Staff Exhibit 1, *in globo*	A copy of Commission Staff's Audit Memorandum and Testimony of Thomas Broady on Behalf of Commission Staff in Support of the Staff Recommendation filed July 11, 2025;
Staff Exhibit 2	A copy of the Testimony of Thomas Broady on Behalf of Commission Staff in Support of the Agreed Term Sheet filed November 3, 2025.

Conclusion

In light of the settlement executed by the parties to this proceeding, there are no disputed issues to be considered and addressed by the administrative law judge in the form of a recommendation. Instead, this Report of Proceedings provides a summary of the proceeding and of the settlement now being proposed to the Commission. Parties may ascertain whether the settlement will be considered at the Commission's next monthly meeting by accessing the Commission's web page at http://www.lpsc.louisiana.gov and clicking on "**Open Session**" to view the Agenda for the Commission's upcoming monthly meeting. Alternatively, parties may obtain this information by calling the Commission's Records and Recordings Division at either of the two following numbers: **(225) 342-3157** or **(800) 256-2397.**

Baton Rouge, Louisiana, this 14th day of November, 2025.

Melanie Verzwyvelt
Chief Administrative Law Judge

cc: Official Service List

Louisiana Public Service Commission
Administrative Hearings Division
11th Floor, Galvez Building
602 North Fifth Street
Post Office Box 91154
Baton Rouge, Louisiana 70821-9154
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LOUISIANA PUBLIC SERVICE COMMISSION
ADMINISTRATIVE HEARINGS DIVISION

DOCKET NUMBER U-37483

BEAUREGARD ELECTRIC COOPERATIVE, INC., EX PARTE

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

REPORT OF PROCEEDINGS
AND
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ATTACHMENTS

(1-4)

ATTACHMENT 1

UNCONTESTED PROPOSED STIPULATED SETTLEMENT

"AGREED TERM SHEET"

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE INC., EX PARTE **DOCKET NO. U-37483**

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

AGREED TERM SHEET

The Louisiana Public Service Commission ("Commission") Staff ("Staff") and Beauregard Electric Cooperative, Inc. ("BECi" or "Cooperative") (collectively, the "Parties") hereby agree to the following terms to facilitate a resolution of this matter:

TERMS

1. BECi shall be authorized to implement an increase in its base rates to achieve a revenue requirement resulting in a Modified Debt Service Coverage ("MDSC") ratio of 1.80, which equates to approximately $7,750,000.
2. BECi's incremental revenues in the approximate amount of $1,000,000 shall be allocated and dedicated to Ordinary Replacement within BECi's Capital Work Plan and, more particularly, vegetation management (utility servitude trimming, dead tree removal, etc.) and storm hardening measures (e.g., infrastructure resilience improvements). BECi shall submit to Staff annual reports detailing expenditures of such incremental revenues and miles of utility servitudes trimmed with the Cooperative's corresponding FRP annual report filing.
3. BECi shall not implement an emergency reserve fund as part of this proceeding.
4. BECi is authorized to reestablish a formula rate plan ("FRP"), as fully described in

BECi's FRP Rider. This FRP shall be for a three-year term, with FRP annual report filings in 2027, 2028, and 2029 for calendar test years 2026, 2027, and 2028.

a. BECi's FRP shall allow for FRP rate implementations resulting from FRP annual reviews on or after the first billing cycle of December of the filing year.

b. BECi's FRP shall provide that the Cooperative shall seek to earn a MDSC ratio of 1.80, with a bandwidth set to 1.70-1.90. If BECi's Calculated MDSC ratio falls either below 1.70 or above 1.90, rates shall be adjusted to meet a midpoint of 1.80. If the Calculated MDSC ratio falls within 1.70-1.90, there will be no change in rates.

c. BECi shall file with each FRP annual report an attachment showing BECi's capital spending during the test year which improved or otherwise impacted the Cooperative's reliability metrics, regardless of whether such capital spending is reflected on BECi's income statement or not. The following shall accompany this attachment:

   i. A narrative outlining and explaining such capital spending;

   ii. A plan for such capital spending for the Cooperative's next fiscal year; and

   iii. A review of such capital spending during the test year that evaluates whether such spending improved BECi's reliability metrics.

5. The Parties agree to those portions of the Staff Report and Recommendation pertaining to adjustments to test year expenses, implementation of a Power Cost Adjustment – Single Factor Rider, an Industrial Cost-Plus rate design, and the remaining system rate designs as filed.

6. BECi shall file into the record of this proceeding, along with a copy to the Commission's Utilities Division, a new or revised tariff reflecting the Commission's action within thirty (30) days of the issuance of an Order in this proceeding. All tariff filings shall be made in accordance with the Commission's General Order No. R-34738 dated July 1, 2019.

7. Upon satisfaction of the above condition(s) and approval of the tariff filing by Staff, new rates shall be deemed effective. Any new rates charged to members prior to satisfying the above condition(s) shall be considered a direct violation of the Commission's Order and subject to refund with interest.

8. This action is taken without prejudice to the Commission's authority to make investigations and require any reasonably necessary change that the Commission may legally find to be in the public interest.

9. Except as expressly stated herein, this Agreed Term Sheet has no precedential effect and shall be without prejudice to the right of any party to take any position in future proceedings. The provisions of this Agreed Term Sheet may not be used either as an admission of any sort or as evidence in any proceeding whatsoever, except to approve or enforce the terms hereof. All oral or written statements made during negotiations on this Agreed Term Sheet are governed by Louisiana Code of Evidence Article 408.

10. This Settlement shall in no way be considered or used as evidence or conclusory determination of any current or future LPSC reviews or audits.

IN WITNESS WHEREOF, on September 25, 2025, the Parties have executed this Agreed Term Sheet on the date set forth hereinabove.

[Signatures on following page]

MARIONNEAUX KANTROW, LLC

Kyle C. Marionneaux (Bar Roll No. 25785)
Kara B. Kantrow (Bar Roll No. 31042)
H. Barlow Holley (Bar Roll No. 38275)
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AND

Arvind Viswanathan (Bar Roll No. 36066)
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Counsel for Louisiana Public Service Commission Staff

ATTACHMENT 2

Testimony of Michael Viator
in Support of the Stipulated Settlement
on behalf of BECi

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE INC., EX PARTE **DOCKET NO. U-37483**

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

TESTIMONY IN SUPPORT OF

UNCONTESTED PROPOSED STIPULATED SETTLEMENT

OF

MICHAEL VIATOR

ON BEHALF OF

BEAUREGARD ELECTRIC COOPERATIVE, INC.

NOVEMBER 3, 2025

INTRODUCTION

Q. PLEASE STATE YOUR NAME, BUSINESS ADDRESS, AND POSITION.

A. My name is Michael Viator. My business address is 1010 East First Street, DeRidder, Louisiana 70634. I currently serve as the Executive Vice President and General Manager of Beauregard Electric Cooperative, Inc. ("BECi" or "Cooperative").

Q. ON WHOSE BEHALF ARE YOU FILING THIS TESTIMONY?

A. I am filing this testimony ("Stipulated Settlement Testimony") on behalf of the Cooperative.

Q. DO YOU HAVE AUTHORITY TO FILE THIS TESTIMONY ON BEHALF OF THE COOPERATIVE?

A. Yes, I do.

Q. HAVE YOU PREVIOUSLY SUBMITTED TESTIMONY IN THIS PROCEEDING?

A. Yes, I submitted pre-filed Direct Testimony in support of the Cooperative's January 14, 2025 Application for Initial Revenue Adjustment, Approval of Formula Rate Plan, Approval of Modifications to Standard Terms and Conditions and Associated Rate Schedules, and Request for Interim Rate Relief ("Application"). I also submitted Rebuttal Testimony on September 30, 2025. I adopt both of these testimonies here in full and incorporate them herein by reference.

PURPOSE AND BACKGROUND

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. The purpose of my testimony is to support of the Agreed Term Sheet ("Settlement"), which resolves all issues between BECi and the Louisiana Public Service Commission ("Commission") Staff ("Staff") in this proceeding. My testimony summarizes the Settlement's key terms and explains why the Commission should approve it.

Q. PLEASE DESCRIBE BECI'S SERVICE TERRITORY AND MEMBERSHIP.

A. BECI is an electric cooperative serving approximately 32,000 members (approximately 44,695 meters) across seven parishes: Allen, Beauregard, Calcasieu, Evangeline, Jefferson Davis, Rapides, and Vernon. BECi is headquartered in DeRidder, Louisiana.

Q. WHAT RELIEF DID BECI ORIGINALLY SEEK IN THIS PROCEEDING?

A. In its Application, BECI originally sought the Commission's approval of an initial revenue adjustment of approximately $9,304,013, a three-year Formula Rate Plan ("FRP") with a Modified Debt Service Coverage ("MDSC") ratio bandwidth of 1.80-2.00 and midpoint of 1.90, various revisions to its Standard Terms and Conditions, and interim rates.

SETTLEMENT PROCESS AND RESOLUTION

Q. HOW DID BECI AND STAFF REACH THIS SETTLEMENT?

A. Following the filing of Staff's Audit Memorandum and the Testimony of Thomas Broady in Support of the Staff Recommendation, BECi and Staff (collectively, the "Parties") engaged in extensive negotiations. These efforts led to the Settlement now before the Commission.

TERMS OF THE SETTLEMENT

Q. PLEASE BRIEFLY DESCRIBE THE KEY TERMS OF THE SETTLEMENT.

A. In summary, the Settlement proposes the following:

- *Base Rates:* BECi shall be authorized to implement an increase in its base rates to achieve a revenue requirement resulting in a MDSC ratio of 1.80, which equates to approximately $7,750,000.
- *Dedication of Incremental Revenues:* The Cooperative's incremental revenues in the approximate amount of $1,000,000 shall be allocated and dedicated to Ordinary Replacement within BECi's Capital Work Plan and, more particularly, vegetation

management and storm hardening measures. BECi shall submit annual reports to Staff on the expenditure of such dedicated incremental revenues.

- *Emergency Reserve Fund ("ERF") Rider:* BECi shall not implement an ERF Rider as part of this proceeding.
- *FRP:* BECi shall be governed by a FRP with a three-year term and test years of 2026, 2027, and 2028. The MDSC ratio bandwidth of the Cooperative's FRP shall be 1.70-1.90 with a midpoint of 1.80. With each FRP annual report, BECi shall file an attachment detailing its capital spending during each test year which impacted the Cooperative's reliability metrics.
- *Various Tariff Revisions:* BECi shall be authorized to implement its adjustments to test year expenses, its Power Cost Adjustment – Single Factor Rider, an Industrial Cost-Plus rate design, and other system rate designs proposed by BECi in its Application.

Q. WHEN WILL THE NEW BASE RATES AND FRP ADJUSTMENTS TAKE EFFECT?

A. BECi may implement new base rates as early as the month after the Commission issues a final order in this matter. FRP rate adjustments will be implemented on or after the first billing cycle of December of each filing year.

TARIFF CHANGES AND RATE DESIGN

Q. WHAT REVISIONS TO ITS STANDARD TERMS AND CONDITIONS DOES THE SETTLEMENT PROPOSE?

A. The Settlement proposes modifying the Cooperative's tariff to adjust monthly customer service charges, demand charges, and energy charges so that BECi can recover the basic cost of connecting and maintaining service availability.

PROCEDURAL FRAMEWORK

Q. WHAT FILING REQUIREMENTS DOES THE SETTLEMENT IMPOSE?

A. In addition to the reporting and filing requirements mentioned above, BECi must file a revised tariff reflecting the Commission's action within 30 days of the order's issuance. All filings must comply with the Commission's General Order No. R-34738 dated July 1, 2019.

Q. DOES THIS SETTLEMENT CREATE ANY PRECEDENT FOR FUTURE PROCEEDINGS?

A. No. The Settlement explicitly states it has no precedential effect and is without prejudice to any party's right to take any positions in future proceeding. The terms cannot be used as admissions or evidence, except to approve or enforce this Settlement.

PUBLIC INTEREST CONSIDERATIONS

Q. WHY SHOULD THE COMMISSION APPROVE THIS SETTLEMENT?

A. This Settlement represents a fair resolution that balances BECi's need for adequate revenue with member interests. The FRP provides the Cooperative with rate stability and predictability while also enabling BECi to maintain financial health. The revisions to BECi's tariff update its charges and fees to reflect the true costs of service today.

Q. DOES THIS SETTLEMENT SERVE THE PUBLIC INTEREST AS WELL AS THE BEST INTERESTS OF THE COOPERATIVE AND ITS MEMBERS?

A. Yes. The Settlement allows BECi to continue to provide safe, reliable electric service while implementing rate structures that are fair, just, and reasonable. The Settlement's negotiated terms reflect extensive collaboration between the Parties and protect both the Cooperative's and members' interests.

Q. DO YOU RECOMMEND COMMISSION APPROVAL OF THIS SETTLEMENT?

A. Yes. I recommend that the Commission approve this Settlement. The Settlement represents a balanced outcome that serves the public interest and provides BECi with the tools necessary to meet its service obligations effectively.

Q. WOULD YOU LIKE TO ADD ANYTHING TO YOUR TESTIMONY?

A. No, not at this time; however, I reserve my right to supplement this testimony at the uncontested stipulation hearing in this matter.

Q. DOES THIS CONCLUDE YOUR STIPULATED SETTLEMENT TESTIMONY?

A. Yes, it does.

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE INC., EX PARTE **DOCKET NO. U-37483**

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

AFFIDAVIT

STATE OF LOUISIANA
PARISH OF BEAUREGARD

I, MICHAEL VIATOR, being first duly sworn, depose that the Testimony in Support of the Agreed Term Sheet entered into between the Louisiana Public Service Commission Staff and Beauregard Electric Cooperative, Inc. and filed in the above-referenced matter, is true and correct to the best of my knowledge, information, and belief.

ON BEHALF OF BEAUREGARD ELECTRIC COOPERATIVE, INC.:

Michael Viator

SWORN TO AND SUBSCRIBED before me this 3rd day of November, 2025.

NOTARY PUBLIC

TINA HARMON
NOTARY PUBLIC
Notary ID No. 194116
Beauregard Parish, Louisiana

Printed Notary Name: Tina Harmon

Notary/Bar Roll No.: 194116

My commission expires: At death.

ATTACHMENT 3

Testimony of Justin Proctor
in Support of the Stipulated Settlement
on behalf of BECi

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE INC., EX PARTE

DOCKET NO. U-37483

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

TESTIMONY IN SUPPORT OF

UNCONTESTED PROPOSED STIPULATED SETTLEMENT

OF

JUSTIN PROCTOR

ON BEHALF OF

BEAUREGARD ELECTRIC COOPERATIVE

OCTOBER 2025

Q. PLEASE STATE YOUR NAME, BUSINESS ADDRESS, AND POSITION.

A. My name is Justin Proctor. I am a Vice President and Managing Consultant for C. H. Guernsey and Company ("Guernsey"). My business address is 5555 North Grand Boulevard, Oklahoma City, Oklahoma 73112.

Q. ON WHOSE BEHALF ARE YOU FILING THIS TESTIMONY?

A. I am filing this testimony ("Stipulated Settlement Testimony") on behalf of the Beauregard Electric Cooperative, Inc. ("BECi" or "Cooperative").

Q. DO YOU HAVE AUTHORITY TO FILE THIS TESTIMONY ON BEHALF OF THE COOPERATIVE?

A. Yes, I do.

Q. HAVE YOU PREVIOUSLY SUBMITTED TESTIMONY IN THIS PROCEEDING?

A. Yes, I submitted pre-filed Direct Testimony in support of the Cooperative's Application which requests rate relief (immediate and interim), the implementation of a formula rate plan ("FRP"), tariff updates, and other equitable relief for the Cooperative. That testimony detailed my professional background, experience, and qualifications. I incorporate it here by reference and adopt it in full.

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. I am testifying as a consultant in support of the Uncontested Proposed Stipulated Settlement between BECi and Commission Staff. I address the financial soundness of the Formula Rate Plan ("FRP"), the equity and adequacy of tariff revisions, and the overall financial rationale supporting the Settlement, which reflects the agreed-upon Modified Debt Service Coverage ("MDSC") midpoint of 1.80 and an approximate total revenue

requirement of $7.75 million as outlined in the Agreed Term Sheet executed September 25, 2025.

Q. HAVE YOU REVIEWED THE TERMS OF THE PROPOSED SETTLEMENT?

A. Yes.

Q. WHAT ARE THE PRIMARY FINANCIAL CHALLENGES FACING BECI?

A. BECi faces numerous financial pressures including operating costs, continued infrastructure investment needs at a higher cost to the Cooperative, debt service obligations, and the need to maintain adequate equity levels while keeping rates affordable for members. The Cooperative must balance these competing demands while maintaining financial stability.

The Settlement specifically recognizes the Cooperative's ongoing capital and operational challenges through an allocation of approximately $1 million in incremental revenues dedicated to ordinary replacement, vegetation management, and storm-hardening measures, consistent with BECi's Capital Work Plan. This targeted allocation not only strengthens reliability but also ensures the Cooperative's rate recovery directly supports tangible infrastructure improvements and member service continuity.

Q. HOW DOES THE SETTLEMENT INCREASE BENEFIT THE COOPERATIVE AND ITS MEMBERS?

A. The settlement increase is a compromise between BECi's proposed increase and Commission Staff. The much-needed additional rate revenue allows BECi to enhance its current financial condition to better fund key cash requirements. The implementation of the rate increase addresses class performance deficiencies and results in rates that are more fair and equitable to members.

Q. DO THE PROPOSED RATE CHANGES ALIGN WITH COST-OF-SERVICE PRINCIPLES?

A. Yes. The proposed rates more closely align rates with the underlying costs of serving each member class. The changes in customer and demand charges move closer to the identified customer and demand-related cost components. The changes help stabilize revenues, better align cost recovery within the rate classes, and provide more accurate price signals to guide energy usage.

Q. HOW DO THESE CHANGES IMPROVE FINANCIAL PREDICTABILITY?

A. By recovering more fixed costs through fixed billing components such as the monthly customer charge and demand charge (if applicable), BECi reduces its exposure to fluctuations in energy sales. Energy sales are subject to weather and may significantly impact both the Cooperative in terms of cost recovery and members whose bills may significantly fluctuate from month-to-month.

Q. HOW DOES THE FORMULA RATE PLAN (FRP) BENEFIT BECI AND ITS MEMBERS?

A. The FRP introduces a formulaic method to align rates with financial performance. It uses the Cooperative's Calculated Debt Service Coverage Ratio ("CDSC" or MDSC) to promote financial stability, access to capital funding and insulate members from rate shock by implementing annual adjustments to rates. Under the Settlement, the FRP will be implemented for a three-year term covering calendar test years 2026, 2027, and 2028, with annual filings and rate implementations beginning in December of each filing year. This structured approach ensures continuity, transparency, and timely adjustments reflective of BECi's evolving financial and operational conditions.

Q. PLEASE EXPLAIN THE MDSC AND ITS IMPORTANCE TO BECI?

A. The MDSC midpoint ratio of 1.80 provides financial protection by measuring BECi's ability to generate sufficient operating funds to cover the cash requirements of its long-term debt service (principal and interest). This metric is particularly important for cooperatives because it captures the actual operating cash-generating capacity needed to service its long-term debt obligations. It is also the primary criterion used by BECi's lender, CFC, in evaluating BECi's ability to obtain new debt financing and repay outstanding debt. The agreed bandwidth of 1.70 to 1.90 ensures rate stability while maintaining BECi's access to affordable financing. If BECi's Calculated MDSC falls outside this range, rates are adjusted to return to the 1.80 midpoint, as provided in the FRP Rider adopted by the Settlement.

Q. HOW DOES THE FRP SAFEGUARD AGAINST EXCESSIVE RATE INCREASES?

A. The FRP includes a revenue requirement calculation based on BECi's, MDSC. This acts as a financial backstop, with a lower limit test of one point seven (1.70), a maximum level of one point nine (1.90), and a mid-point reset of one point eight (1.80). Finally, the annual review process allows for transparency of any rate adjustments required as part of the FRP calculations. These mechanism balances financial adequacy with member protection.

Q. HOW DOES THIS SETTLEMENT COMPARE TO TRADITIONAL RATE CASES FROM A FINANCIAL PERSPECTIVE?

A. The FRP approach provides a steady revenue requirement target based on historic test period financials with annual normalizing adjustments in lieu of a traditional rate case approach where one rate adjustment is designed to produce sufficient revenues whereas to meet key cooperative financial objectives over a planned period before which another rate

case is necessitated. Rather than experiencing periods of declining returns followed by larger rate increases, BECi can maintain stable financial coverage ratio metrics through smaller, more frequent adjustments. The FRP approach may also reduce regulatory lag and provide more predictable cash flows.

Q. HOW DOES THE FRP SUPPORT BECI'S CAPITAL INVESTMENT NEEDS?

A. The FRP allows BECi to access to long-term debt funding by ensuring the Cooperative's lender's minimum debt covenant ratio is exceeded.

Q. WHAT RISKS WOULD BECI FACE WITHOUT THIS SETTLEMENT?

A. Without the approval of the proposed settlement increase, BECi is at risk of underfunded operations, deferred maintenance, increased borrowing, potential reduced service quality and reliability levels.

Q. IS THE SETTLEMENT FINANCIALLY SOUND FROM BECI'S PERSPECTIVE?

A. Yes. The settlement provides a measured improvement in BECi ability to fund the Cooperative's revenue requirement while incorporating an improved FRP safeguard. The settlement promotes improved financial health and extends the FRP framework for a procedural mechanism which provides transparency and accountability.

Q. CAN YOU EXPLAIN HOW THE INTERIM RATES WERE IMPLEMENTED AND HOW THE FINAL SETTLEMENT REVENUE INCREASE WILL AFFECT MEMBER RATES?

A. Yes. The Commission granted BECi interim rate relief by Order No. U-37483. The interim adjustment authorized BECi to implement forty percent (40%) of the total requested base rate increase, subject to refund, during the pendency of this proceeding. That interim

increase was designed to address near-term revenue deficiencies and maintain operational liquidity while Staff completed its review of the Cooperative's application. With the execution of the Agreed Term Sheet dated September 25, 2025, the interim phase has concluded, and this settlement reflects the final resolution of BECi's rate case. Under the Settlement, BECi's overall revenue requirement is set at approximately $7.75 million, corresponding to a Modified Debt Service Coverage (MDSC) ratio of 1.80. The difference between the interim and final rates represents the balance necessary to reach that revenue requirement after crediting the revenues already being collected under the interim schedule. For members, this means that upon implementation of the approved settlement rates, the average residential bill based will reflect only a modest additional adjustment beyond the interim increase. Based on test year average monthly usage of 1,000 kWh, a member's bill, if the stipulation is approved, will increase an additional $6.72 over the interim increase. The interim increase that was approved by the Commission for an average usage of 1,000 kWh was $2.73/month. Accordingly, the total increase, including the interim increases, for a member using 1,000 kWh, is $9.45/month. This increase is less than what the Cooperative had initially requested with its filing. Importantly, approximately $1 million of incremental revenues are specifically dedicated to ordinary replacement, vegetation management, and storm-hardening activities, as outlined in the Settlement. This targeted funding ensures that members directly benefit through enhanced reliability, system resilience, and long-term service quality. In summary, the interim rates provided essential bridge funding during the regulatory process, and the final settlement increase now provides a balanced, sustainable revenue structure that both stabilizes BECi's financial position and delivers measurable value to its members.

Q. DO YOU RECOMMEND COMMISSION APPROVAL OF THIS SETTLEMENT?

A. Yes. the proposed settlement represents a jointly endorsed, well-structured approach that balances the financial needs of BECi with member protections. The FRP provides the financial stability necessary for BECi to continue providing reliable service and ensured access to capital while implementing fair and reasonable rates.

Q. DO YOU BELIEVE THAT THE SETTLEMENT IS IN THE PUBLIC INTEREST AS WELL AS IN THE BEST INTEREST OF THE COOPERATIVE AND ITS MEMBERS?

A. Yes. The proposed settlement allows BECi to continue safely providing electric services, enhance activities devoted to reliability while implementing rates that are fair, just, and reasonable.

Q. WHAT IS YOUR OVERALL CONCLUSION REGARDING THE PROPOSED SETTLEMENT?

A. The Settlement represents a fair and financially sound resolution of BECi's rate application. I respectfully recommend the Commission approve it.

Q. WOULD YOU LIKE TO ADD ANYTHING TO YOUR TESTIMONY?

A. No; however, I reserve my right to supplement this testimony at the stipulation hearing in this matter.

Q. DOES THIS CONCLUDE YOUR STIPULATED SETTLEMENT TESTIMONY?

A. Yes, it does.

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE INC., EX PARTE **DOCKET NO. U-37483**

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

AFFIDAVIT

STATE OF OK
PARISH/COUNTY OF OK

I, JUSTIN PROCTOR, being first duly sworn, depose that the Testimony in Support of the Agreed Term Sheet entered into between the Louisiana Public Service Commission Staff and Beauregard Electric Cooperative, Inc. and filed in the above-referenced matter, is true and correct to the best of my knowledge, information, and belief.

KATHLEEN TANKSLEY NOTARY PUBLIC COMM # 04000797 EXPIRES 1-28-2028 STATE OF OKLAHOMA

ON BEHALF OF BEAUREGARD ELECTRIC COOPERATIVE, INC.:

Justin Proctor
Justin Proctor

SWORN TO AND SUBSCRIBED before me this 29th day of October, 2025.

Kathleen #04000797
NOTARY PUBLIC

Printed Notary Name: Kathleen Tanksley

Notary/Bar Roll No.: #04000797 1-28-28

My commission expires: ~~At death~~ 1-28-28.

ATTACHMENT 4

Testimony of Thomas Broady
in Support of the Stipulated Settlement
on behalf of Commission Staff

LOUISIANA PUBLIC SERVICE COMMISSION

DOCKET NO. U-37483

BEAUREGARD ELECTRIC COOPERATIVE, INC.,

EX PARTE.

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief

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TESTIMONY OF THOMAS BROADY

IN SUPPORT OF THE

UNCONTESTED STIPULATED SETTLEMENT

ON BEHALF OF THE

LOUISIANA PUBLIC SERVICE COMMISSION

November 3, 2025

Q. PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.

A. My name is Thomas Broady. My business address is the Galvez Building, 12th Floor, 602 North 5th Street, Baton Rouge, Louisiana, 70802.

Q. ON WHOSE BEHALF ARE YOU TESTIFYING IN THIS PROCEEDING?

A. I am testifying on behalf of the Louisiana Public Service Commission ("LPSC" or the "Commission") Staff ("Staff").

Q. ARE YOU THE SAME THOMAS BROADY WHO FILED DIRECT TESTIMONY DATED JULY 11, 2025 IN THIS DOCKET?

A. Yes.

Q. DID YOU PREPARE THE STAFF REPORT AND RECOMMENDATION THAT WAS ATTACHED TO YOUR DIRECT TESTIMONY?

A. Yes, I did.

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY TODAY?

A. The purpose of my testimony is to support the Uncontested Stipulated Settlement ("Settlement") between Staff and Beauregard Electric Cooperative, Inc. ("BECI" or the "Cooperative"). My testimony is not intended to modify the terms of the Settlement between Staff and BECI.

Q. WHAT IS THE SUBJECT OF THE SETTLEMENT?

A. The subject of the Settlement is the consensual resolution of all issues in this docket related to BECI's request.

Q. PLEASE GIVE A BRIEF SUMMARY OF THE COOPERATIVE'S REQUEST?

A. BECI requested the approval of an increase in rates, approval of a FRP, including modifications to standard terms and conditions, and for interim rate relief. BECI's interim rate relief included an ask for 40% of the proposed revenue adjustment and an immediate

tariff change to accommodate the new power supply agreement with high load factor users. BECI's interim rate relief was granted on May 8, 2025 and BECI was able to start collecting approximately $3,721,605 of the requested total. BECI's final proposed rate increase would provide for an additional $9,304,013 in operating revenues over the 2023 adjusted test year and would provide for a MDSC of 1.95, a TIER of 2.52, and an OTIER of 2.32. Additional changes to the tariff include increases to the monthly customer service charges for all classes and the implementation of a monthly customer service charge for those classes that didn't previously have one. For single phase residential customers this is an increase from $9.00 to $15.00 and for single phase commercial this is an increase from $12.00 to $25.00. Every rate class is affected by the increases as BECI is seeking to more appropriately align revenues to their fixed costs of maintaining and servicing the lines.

Additionally, BECI is changing the Cooperatives PCA operates as well. For the industrial HLF class BECI will directly assign and recover power cost each month. For all other classes, changes in the average cost of power when measured against the PCRF Rate Base will be recovered in the form of a single PCRF. Meaning, that base rates will have a specific total per kWh that is embedded in base rates already. BECI is proposing that the residential customers energy charge would eliminate the PCA factor and FRP factor currently set up and move existing revenues into base rates.

Q, PLEASE PROVIDE A HIGH-LEVEL OVERVIEW OF YOUR RECOMMENDATION, WHICH WAS FILED AS A PART OF YOUR DIRECT TESTIMONY, REGARDING BECI'S REQUEST.

A. Yes. My recommendation would allow for an initial increase in revenues of approximately $6,680,068, which would allow BECI the opportunity to achieve a MDSC of 1.70 based on an as adjusted test year. This increase would include the changes for fixed monthly service charges as proposed by BECI as well an energy and charges for additional revenues to achieve the recommended revenues requirement for all customer classes. For residential customers this would be an increase from $9.00 to $15.00 in the monthly customer charges. Staff proposed to allow BECI to implement a Formula Rate Plan with a three-year term

with the first test year filing for the Test Year ending December 31, 2026. Staff's recommendation would allow the FRP to utilize an upper band MDSC of 1.80, a lower band MDSC of 1.60, and a midpoint MDSC of 1.70. Additionally, Staff recommended that BECI be able to implement an emergency reserve fund rider to ease cash flow concerns and assist BECI in responding to emergencies with less reliance on lines of credit and less reliance on cash flows that would affect the intended margins developed in this rate case.

Q. DID THE COOPERATIVE AND STAFF REACHED A STIPULATED SETTLEMENT PRIOR TO THE FILING OF REBUTTAL TESTIMONY?

A. Yes.

Q. DID THE COOPERATIVE FILE A RESPONSE TO STAFF'S RECOMMENDATION?

A. Yes. BECI filed a response that included the settlement between BECi and Staff. This settlement resolved all issues between Staff and BECi in the docket.

Q. DOES THE STIPULATED SETTLEMENT INCORPORATE STAFF'S RECOMMENDATION?

A. Partially. It was more of a compromise. The Stipulated Settlement provides BECI with base rates at a slightly higher margin that what was recommended in Staff's Report and Recommendation. The Stipulated Settlement provides a base revenue increase that moves BECI's Modified Debt Service Coverage ("MDSC") ratio from a 1.70 MDSC position in Staff's filings to a 1.80 MDSC in the settlement agreement as well as no implementation of an emergency reserve fund. In addition to the change to the 1.80 MDSC and no emergency reserve fund rider, BECI will be required to allocate approximately $1 million of the base rate revenues into ordinary replacements, vegetation management, and storm hardening initiatives what will require annual reporting obligations in each of BECI's future FRP test year filings. Staff's position was that we wanted to provide BECI with the additional revenues so that the Cooperative could make improvements to its reliability metrics. The Settlement provides for a base revenue change of approximately $7.75

million and implements a Formula Rate Plan ("FRP") with a three-year term with filings occurring in 2027, 2028, and 2029 for the 2026, 2027, and 2028 test year. The FRP will have a bandwidth of MDSC with an upper band MDSC of 1.90, a lower band MDSC of 1.70, and a midpoint MDSC of 1.80. If rates fall outside of the prescribed bandwidth, then rates will be rest to the midpoint MDSC of 1.80.

Q. DO YOU SUPPORT THE STIPULATED SETTLEMENT AND BELIEVE THAT IT IS FAIR, REASONABLE, AND IN THE PUBLIC INTEREST?

A. Yes.

Q. DO YOU RECOMMEND THAT THIS SETTLEMENT BE APPROVED BY THE COMMISSION?

A. Yes.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes, it does.

LOUISIANA PUBLIC SERVICE COMMISSION
DOCKET NO. U-37483

BEAUREGARD ELECTRIC COOPERATIVE INC.,

EX PARTE.

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief

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AFFIDAVIT
STATE OF LOUISIANA
BEFORE ME, the undersigned authority, personally came and appeared:
Thomas Broady, Audit Manager LPSC, who did declare and state that he is the same Thomas Broady who prepared Direct Testimony as filed in the above-captioned docket; that he has reviewed the Uncontested Stipulated Settlement Agreement in the above-captioned docket and that he is familiar with the contents thereof; that he agrees with the terms of the Uncontested Stipulated Settlement Agreement and supports the Commission's acceptance of the same; that the Uncontested Stipulated Settlement Agreement serves the public convenience and necessity and is in the public interest; and that the facts and representations set forth therein are true and correct to the best of his knowledge, information and belief.

Thomas Broady

Sworn and subscribed to before me this 3rd day of November, 2025.

Arvind Viswanathan
Bar Roll No. 36066
My Commission Expires at Death
Staff Attorney
Louisiana Public Service Commission

Service List for U-37483
as of 11/14/2025

Commissioner(s)

Mike Francis

LPSC Staff Counsel

Arvind Viswanathan, LPSC Staff Attorney

LPSC Staff

Donnie Marks, LPSC Utilities Division

Thomas Broady, LPSC Auditing Division

Applicant : **Beauregard Electric Cooperative, Inc.**

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